

to start his own counseling firm. On March 31, 1931, Fisher & Company began soliciting clients.

Starting an investment counseling firm in the early 1930s might have appeared foolhardy, but Fisher figured he had two advantages. First, any investor who had any money left after the crash was probably very unhappy with his or her existing broker. Second, in the midst of the Depression, businesspeople had plenty of time to sit and talk with Fisher.

At Stanford, one of Fisher's business classes required him to accompany his professor on periodic visits to companies in the San Francisco area. The professor would get the business managers to talk about their operations, and often helped them solve an immediate problem. Driving back to Stanford, Fisher and his professor would recap what they observed about the companies and managers they had visited. "That hour each week," Fisher later said, "was the most useful training I ever received."<sup>7</sup>

From these experiences, Fisher came to believe that superior profits could be made by (1) investing in companies with above-average potential and (2) aligning oneself with the most capable management. To isolate these exceptional companies, Fisher developed a point system that qualified a company according to the characteristics of its business and management.

The characteristic of a company that most impressed Fisher was its ability to grow sales and profits over the years, at rates greater than the industry average.<sup>8</sup> To do that, Fisher believed that a company needed to possess "products or services with sufficient market potential to make possible a sizable increase in sales for several years."<sup>9</sup> Fisher was not so much concerned with consistent annual increases in sales. Rather, he judged a company's success over a period of several years. He was aware that changes in the business cycle would have a material effect on sales and earnings. However, he believed that two types of companies would, decade by decade, show promise of above-average growth: (1) those that were "fortunate and able" and (2) those that were "fortunate because they are able."

Aluminum Company of America (Alcoa) was an example, he said, of the first type. The company was "able" because the founders of the company were people of great ability. Alcoa's management foresaw the commercial uses of its product and worked aggressively to capitalize the aluminum